

Raytheon Technologies
Corporation

I have abided by the academic integrity policy on this assignment.

Executive Summary

RTX Corporation, a global aerospace and defense leader, has transformed significantly in recent years, navigating challenges through strategic adaptation. Formed in 2020 from the merger of Raytheon and United Technologies and rebranded in 2023, RTX streamlined its operations into three core segments—Collins Aerospace, Pratt & Whitney, and Raytheon. These segments cover a broad range of commercial aviation, military aerospace, and defense technologies, positioning RTX to meet rising global demand for advanced military systems and aerospace innovation. Increased defense budgets among NATO allies and Indo-Pacific nations have bolstered demand for RTX's missile and radar technologies, while its ongoing investments in high-margin aftermarket services enhance its financial stability.

Financially, RTX stands strong with a gross profit margin of 19.21% and an operating margin of 10.52%, outperforming industry peers like Boeing and Lockheed Martin in key profitability metrics. The company's Free Cash Flow (FCF) growth model and valuation analysis suggest that RTX is fairly valued to modestly undervalued. This presents a reasonable opportunity for investors seeking long-term growth in the defense and aerospace sectors. Despite regulatory challenges, including a recent \$200 million fine for export compliance issues, RTX has reinforced its compliance measures and remains well-positioned to capitalize on expanding defense budgets and the recovery in commercial aviation. For investors, RTX offers a mix of stability and growth potential, backed by its diversified portfolio, strong balance sheet, and commitment to operational excellence.

Company Background

Raytheon's origins date back to 1922¹, when the American Appliance Company, founded by Laurence K. Marshall, Vannevar Bush, and Charles G. Smith, shifted from refrigeration to electronics, developing a helium rectifier that powered radios from household electricity. Renamed the Raytheon Manufacturing Company in 1925, it became a leading vacuum tube producer. It played a key role in World War II by manufacturing radar components and inventing the microwave oven. Around the same time, The United Aircraft and Transport Corporation was formed in 1929 through a partnership between Boeing and Pratt & Whitney, combining aircraft, engine manufacturing, and airline services. After antitrust laws dismantled the conglomerate in 1934, United Aircraft reemerged as a standalone manufacturer, eventually evolving into United

¹ *Britannica Money*. (2024, April 3). [www.britannica.com](https://www.britannica.com/money/Raytheon-Company).
<https://www.britannica.com/money/Raytheon-Company>

Technologies Corporation (UTC) in 1975 under CEO Harry Jack Gray², focusing on aerospace, high-tech industries, and acquisitions.

Raytheon built its reputation as a defense contractor by developing missile systems, including the AIM-7 Sparrow and MIM-23 Hawk, and its Patriot³ missile gained global prominence during the Gulf War in 1991. Throughout the 1990s, Raytheon expanded further by acquiring Hughes Aircraft and defense divisions from Texas Instruments and Chrysler. Meanwhile, UTC pursued diversification by acquiring companies such as Otis Elevator, Carrier Refrigeration, and Sundstrand Corporation, forming UTC Aerospace Systems. In 2018, UTC acquired Rockwell Collins for \$23 billion, consolidating its aerospace business while spinning off Otis and Carrier as independent companies.

In 2019, UTC merged with Raytheon to form Raytheon Technologies, a \$100 billion aerospace and defense giant, with the merger completed in April 2020⁴. The company, headquartered in Waltham, Massachusetts, faced early challenges due to the COVID-19 pandemic, laying off over 8,000 employees in its commercial aviation division. Despite setbacks, Raytheon Technologies kept stability, starting a \$5 billion stock buyback in December 2020⁵. In response to growing global tensions, Raytheon saw increased demand for its products, particularly during the 2022 Russian invasion of Ukraine.

Raytheon Technologies rebranded as RTX Corporation in July 2023 and consolidated its operations into three divisions: Collins Aerospace, Pratt & Whitney, and Raytheon. However, protests erupted over RTX's arms sales to Israel during the 2023 Israel–Hamas war, with demonstrators blocking access to facilities in Arizona and Kentucky. In August 2024, RTX was fined \$200 million for violating ITAR regulations by sharing data with prohibited countries, including China. During these controversies, CEO Greg Hayes announced his retirement, with Christopher Calio set to take over leadership in May 2024. Through these challenges, RTX continues to navigate its role as a global leader in aerospace and defense technologies.

² Fernandez, Ronald (1983), *Excess Profits: The Rise of United Technologies*, Boston: Addison-Wesley, ISBN 9780201104844.

³ Raytheon MIM-104 Patriot. (2015, April 11). Web.archive.org. <https://web.archive.org/web/20150411014329/http://www.designation-systems.net/dusrm/m-104.html>

⁴ RTX. (2020, April 3). *United Technologies and Raytheon Complete Merger of Equals Transaction*. Www.rtx.com. <https://www.rtx.com/News/2020/04/03/United-Technologies-and-Raytheon-Complete-Merger-of-Equals-Transaction>

⁵ Raytheon Technologies Board of Directors Authorizes \$5 Billion Share Repurchase Program. (2020). United Technologies. <https://www.rtx.com/news/news-center/2020/12/07/raytheon-technologies-board-of-directors-authorizes-5-billion-share-repurchase-p>

Internal and External Factors Impacting Company Performance

Geopolitical Tensions and Defense Spending

Geopolitical tensions have become a major catalyst for increased defense spending, directly benefiting RTX Corporation through enhanced demand for its missile defense systems, aircraft engines, and advanced military technologies. The global security landscape—shaped by escalating conflicts such as Russia's invasion of Ukraine and the heightened volatility in the Middle East—has prompted both NATO and the U.S. government to allocate more resources toward military readiness and modernization.

The war in Ukraine has had a particularly profound effect, pushing Western governments to expedite weapon production and strengthen their defense capabilities. The U.S. Department of Defense announced nearly \$13 billion⁶ in contracts for arms manufacturers, including RTX, in 2023 and 2024 to support Ukraine's defense. These contracts cover not only immediate needs, such as missile systems and munitions, but also investments in future capabilities to counter advanced threats.

NATO's renewed focus on defense spending has also provided long-term growth prospects for RTX. In response to the deteriorating security environment in Europe, NATO members have pledged to meet or exceed the 2% GDP defense spending target⁷. Countries like Germany and Poland have accelerated their military procurements, helping companies like RTX, which supplies integrated missile systems and radar technologies. This shift ensures RTX will continue to receive sustained orders from both U.S. allies and international customers for key defense platforms such as the Global Patriot missile defense system and NASAMS counter-UAS technologies.

Beyond Europe, geopolitical shifts in the Indo-Pacific⁸ region have also heightened demand for military technologies. Countries concerned about China's military expansion are investing in advanced weaponry, opening new markets for RTX's aerospace and missile technologies. RTX's diversified defense portfolio positions it well to serve both Western and

⁶ Raytheon still waiting for orders to replace weapons sent to Ukraine - Defense One. (2023). Defenseone.com. <https://www.defenseone.com/business/2023/07/raytheon-still-awaiting-deals-replace-billions-dollars-worth-weapons-given-ukraine/388819/>

⁷ Gosselin-Malo, E. (2024, July 23). NATO's newfound knack for hefty bulk buys has arms maker RTX perked up. Defense News. <https://www.defensenews.com/global/europe/2024/07/23/natos-newfound-knack-for-hefty-bulk-buys-has-arms-maker-rtx-perked-up/>

⁸ Watkins, R. (2024, July 11). RTX Tests New Battle Management Concepts During Exercise. The Defense Post. <https://thedefensepost.com/2024/07/11/valiant-shield-rtx-battle-management/>

Asian allies, providing stability to its financial performance despite broader economic uncertainties

Regulatory Risks and Legal Settlements

RTX Corporation faces substantial regulatory and legal challenges that have impacted its operations and financial performance. RTX was fined \$200 million⁹ in 2024 for misclassifying exports and sharing unauthorized technical data related to defense systems with foreign entities, including Chinese employees. These violations stemmed from a misinterpretation of International Traffic in Arms Regulations (ITAR), which govern the handling of sensitive military technologies.

The company has also dealt with legacy legal issues from Raytheon's pre-merger operations¹⁰. Investigations uncovered improper payments tied to Middle Eastern contracts and defective pricing practices on U.S. government contracts, leading to further legal settlements. These issues reflect the difficulty in maintaining compliance across complex defense contracts and multinational operations.

In response, RTX has taken steps to strengthen compliance¹¹, including enhanced employee training and improved cybersecurity protocols. However, lapses continue to expose the company to operational risks and reputational damage, especially with government agencies. The company's ongoing regulatory adjustments are crucial to retaining access to key defense contracts and partnerships while addressing potential vulnerabilities.

These legal and regulatory challenges reflect the broader landscape for multinational defense contractors, who must navigate stringent compliance frameworks and shifting geopolitical dynamics. RTX's proactive measures signal a commitment to compliance, but the associated financial burdens, combined with operational adjustments, may affect its profitability in the near term¹²

⁹ Stone, M. (2024, August 30). *RTX fined \$200 million for exports to China and others, US says*. Reuters. <https://www.reuters.com/business/aerospace-defense/rtx-pay-200-million-fine-export-mistakes-state-department-says-2024-08-30/>

¹⁰ *Raytheon Company to Pay Over \$950M in Connection with Defective Pricing, Foreign Bribery, and Export Control Schemes*. (2024, October 16). Justice.gov. <https://www.justice.gov/opa/pr/raytheon-company-pay-over-950m-connection-defective-pricing-foreign-bribery-and-export>

¹¹ *U.S. Department of State Concludes \$200 Million Settlement Resolving Export Violations by RTX Corporation - United States Department of State*. (2024, August 30). United States Department of State. <https://www.state.gov/u-s-department-of-state-concludes-200-million-settlement-resolving-export-violations-by-rtx-corporation/>

¹² Tokar, D. (2024, July 25). *RTX Sets Aside \$1.24 Billion to Resolve Government Probes*. WSJ; The Wall Street Journal. <https://www.wsj.com/articles/rtx-sets-aside-1-24-billion-to-resolve-government-probes-d91a0aaf>

Segment Performance and Profitability

RTX Corporation's segment performance significantly drives its profitability, with Collins Aerospace, Pratt & Whitney, and Raytheon contributing in distinct ways. Collins Aerospace, which is heavily involved in the commercial aviation sector, saw mixed results in Q3 2024. Although commercial original equipment (OE) sales fell 8%¹³ due to reduced narrow-body aircraft production, aftermarket services rose 9%¹³, driven by increasing global flight hours and maintenance demand. The defense-related business also provided stability, posting a 14% growth from expanded program volumes¹³

Pratt & Whitney, a leader in engine manufacturing, had a strong quarter with a 14% revenue increase. The segment benefited from a 13%¹³ jump in commercial aftermarket services and a 20% rise in military sales, with key sustainment projects on F135 engines for the F-35 fighter jet. Aftermarket services are a vital part of Pratt & Whitney's profitability, offering high-margin recurring revenue from engine overhauls and maintenance, particularly as the GTF engines gain market share in the commercial sector.¹⁴

Raytheon, RTX's defense-focused segment, experienced some headwinds from the divestiture of its Cybersecurity, Intelligence, and Services business in early 2024 but still managed a 5%¹³ increase in adjusted sales. The segment's growth was driven by strong demand for missile systems like the Patriot and NASAMS, reflecting rising geopolitical tensions and government investments in defense. These long-term defense contracts provide stable revenue streams and a buffer against economic downturns in other segments.

RTX's overall profitability benefits from a diversified portfolio, balancing commercial and defense markets. While commercial OE sales have faced pressure from supply chain disruptions, the strength of aftermarket services and sustained defense spending have helped offset these challenges. This strategic mix ensures stability, even when individual sectors experience downturns, highlighting the importance of the company's multi-segment structure.

RTX's success depends on resolving production bottlenecks in its commercial aerospace operations while maintaining its leadership in defense technologies. The company's ability to leverage high-margin aftermarket services across both Collins Aerospace and Pratt & Whitney segments will be crucial. Additionally, Raytheon's focus on advanced missile systems positions RTX to benefit from increased global defense spending amid geopolitical uncertainties.

¹³ *RTX Reports Third Quarter 2024 Results*. (2024). United Technologies.
<https://www.rtx.com/news/news-center/2024/10/22/rtx-reports-third-quarter-2024-results>

Financial Statement Analysis

	RTX ¹⁵	Boeing ¹⁶	Lockheed Martin ¹⁷
Current Ratio	0.99	1.12	1.30
Quick Ratio	0.60	0.24	1.10
Gross Profit Margin	19.21	3.13	12.22
Debt-to-Equity	0.7	N/A (Negative Equity)	2.68
Return on Equity	7.35	-2.67	81.04
Operating Margin	10.52	-1.9	12.58
EBITDA Margin	15.94	N/A	14.34
Free Cash Flow Yield	4.86	-7.68	5.02
Interest Coverage Ratio	4.14	N/A	8.74

RTX proves superior profitability with a gross profit margin of 19.21%, outperforming both Boeing (3.13%) and Lockheed Martin (12.22%)¹⁸. This highlights RTX's efficiency in managing production costs across its diversified aerospace and defense segments. Boeing's low margin reflects the challenges it faces, including production delays and supply chain disruptions. In contrast, Lockheed Martin's margin reflects its strong performance in the defense sector, though slightly behind RTX, due to different cost structures and market conditions.

In terms of liquidity, Lockheed Martin leads with a current ratio of 1.30 and a quick ratio of 1.10, indicating a strong ability to meet short-term obligations using its most liquid assets. RTX's current ratio of 0.99 and a quick ratio of 0.60 show that while it manages liquidity adequately, it depends more on inventory or operating cash flow to cover short-term liabilities. Boeing, with a current ratio of 1.12 but a quick ratio of only 0.24, faces significant liquidity challenges, reflecting its heavy reliance on inventory to manage immediate financial needs.

When it comes to leverage, Lockheed Martin's debt-to-equity ratio of 2.68 suggests higher reliance on debt, though this is offset by strong profitability and high returns, including an ROE of 81.04%. RTX, with a debt-to-equity ratio of 0.70 and ROE of 7.35%, maintains more conservative debt levels, balancing growth and risk management. Boeing, with negative equity

¹⁵ Raytheon Technologies Corp (RTX) Quote - XNYS | Morningstar. (n.d.).

Www.morningstar.com. <https://www.morningstar.com/stocks/xnys/rtx/quote>

¹⁶ The Boeing Company (BA) Stock Price, Quote & News. (n.d.). Stock Analysis.

<https://stockanalysis.com/stocks/ba/>

¹⁷ Lockheed Martin Corporation (LMT) Stock Price, Quote & News - Stock Analysis. (2024).

Stock Analysis. <https://stockanalysis.com/stocks/lmt/>

¹⁸ RTX vs. LMT — ETF comparison tool. (2024). Portfolioslab.com.

<https://portfolioslab.com/tools/stock-comparison/RTX/LMT>

and a negative ROE (-2.67%), is in recovery mode, reflecting operational and financial struggles. However, RTX and Lockheed Martin generate positive free cash flow yields (4.86% and 5.02%), while Boeing's negative free cash flow yield (-7.68%) underscores its liquidity strain and cash management challenges.

Valuation

When evaluating RTX's stock and performance, several financial metrics have been analyzed, including the price-to-earnings ratio (P/E), Capital Asset Pricing Model (CAPM), free cash flow (FCF), and projected income statement. Detailed calculations for these metrics are provided in the appendices at the end of the paper.

As seen in Appendix A, RTX's trailing-twelve-month P/E ratio as of October 30, 2024 stands at 34.50 (price of \$122.14 divided by TTM basic EPS of \$3.54), compared to the aerospace and defense industry's average P/E of 54.07. A lower P/E ratio suggests that investors are paying relatively less for each dollar of RTX's earnings than for other firms in its industry. A lower P/E can be interpreted in different ways—it might indicate the market's concerns about the firm's future growth, or it could present a buying opportunity if the underlying fundamentals remain strong.

In RTX's case, the slightly lower P/E ratio reflects some lingering investor caution due to the global geopolitical tensions and supply chain disruptions that have impacted the industry. Moreover, the aerospace sector is still recovering from the pandemic's impact on commercial aviation. However, Raytheon's strong position in defense contracts and its diversified portfolio ensure that the company will remain resilient. As supply chains stabilize and global defense spending continues to rise, RTX's earnings and investor confidence are likely to grow, which should push the P/E ratio—and ultimately the stock price—higher.

Against its closest defense peers, however, the comparison looks different. At the end of the third quarter of 2024, Lockheed Martin traded at 20.80 times trailing earnings, General Dynamics at 22.63 times, and Northrop Grumman at 32.52 times, a peer median of 22.63 times (Appendix E). RTX's trailing P/E of 34.50 sits above that group, but its trailing GAAP earnings understate run-rate profitability because they absorb the 2024 legal settlements and Raytheon contract termination charge discussed earlier, along with acquisition-related amortization. Through the first nine months of 2024, RTX reported adjusted EPS of \$4.20 versus diluted

GAAP EPS of \$2.45. On management's raised 2024 adjusted EPS guidance of \$5.50 to \$5.58 (midpoint \$5.54), RTX traded at about 22.0 times earnings, roughly in line with the peer median. Applying the 22.63 times peer median to adjusted EPS implies a value of about \$125 per share. Because the peer multiples are based on trailing GAAP earnings, this comparison is approximate.

EV/EBITDA provides a second relative check that is less affected by differences in capital structure, tax rates, and non-cash amortization. At September 30, 2024, RTX's enterprise value of about \$200.2 billion was 16.05 times its trailing EBITDA, compared with 15.30 times for Lockheed Martin, 17.05 times for General Dynamics, and 20.59 times for Northrop Grumman, a peer median of 17.05 times. Boeing is excluded from both multiples because its negative earnings and EBITDA make the ratios meaningless. Trading slightly below the peer median suggests RTX was modestly discounted relative to its peers. Applying the 17.05 times median to RTX's trailing EBITDA of about \$12.47 billion implies an enterprise value of about \$212.6 billion; subtracting \$35.47 billion of net debt and dividing by 1.331 billion shares gives roughly \$133 per share.

Based on the free cash flow projections in Appendix C, RTX's stock price appears modestly undervalued relative to the intrinsic value derived from future cash flows. Free cash flow is projected to grow 7%, 12%, 14%, and 12% over 2025–2028 as defense spending and commercial aftermarket demand recover, before settling into a terminal growth rate of 3.0%, roughly in line with long-run nominal GDP growth, which is what the model assumes RTX can sustain in perpetuity once its current growth catalysts normalize.

Discounting those free cash flows and a terminal value at RTX's weighted average cost of capital (WACC), then subtracting net debt (total debt less cash, rather than gross total liabilities, since operating liabilities like accounts payable are already reflected in free cash flow) and dividing by shares outstanding, yields an intrinsic value of approximately \$128 per share against an October 30, 2024 price of \$122.14, roughly 5% upside. That is a far more modest conclusion than a simple point estimate suggests, and it is highly sensitive to the discount rate and terminal growth assumptions, as the sensitivity grid at the end of Appendix C shows: intrinsic value ranges from under \$75 to over \$150 per share across a reasonable band of WACC and terminal growth combinations. The takeaway is directional support for RTX being fairly valued to modestly undervalued, not a precise target.

Taken together, the three methods point to the same conclusion. The DCF implies about \$128 per share, the adjusted P/E cross-check about \$125, and the EV/EBITDA cross-check about \$133, a range of roughly \$125 to \$133 against the October 30, 2024 price of \$122.14. That supports the view that RTX was fairly valued to modestly undervalued at the time, with further upside depending on whether defense demand and commercial aftermarket growth exceeded the assumptions in this model.

The CAPM calculation, outlined in Appendix B, provides further insights into RTX's risk and return profile. RTX's beta is 0.54, indicating that the stock is less volatile than the broader

market. Combined with the risk-free rate and the market's equity risk premium as of late October 2024, this produces a cost of equity of about 6.6%, well above the risk-free rate but still reflecting RTX's defensive, low-volatility profile. This low beta makes RTX a relatively safer investment, particularly in volatile markets. As a defense contractor, RTX benefits from steady government contracts, which reduce revenue volatility during economic downturns.

Additionally, RTX has increased liquidity through recent bond issuances, strengthening its balance sheet and enhancing its ability to weather economic challenges. In the event of a market downturn or continued geopolitical instability, RTX is well-positioned to remain stable and potentially outperform more cyclical sectors. This stability makes RTX a defensive investment, appealing to investors seeking both safety and long-term growth.

Because the FCF model is valuing the whole firm rather than just the equity claim, the appropriate discount rate is the weighted average cost of capital (WACC) rather than the cost of equity alone; Appendix B walks through that calculation, blending the CAPM cost of equity with RTX's after-tax cost of debt in proportion to its capital structure. It is also worth stating the bear case explicitly rather than only the bull case argued above: the valuation is sensitive to near-term growth assumptions that may not materialize if commercial aerospace deliveries or defense budgets disappoint, RTX carries real interest rate and execution risk on Pratt & Whitney's engine issues, and the regulatory and export-control matters discussed earlier could recur. The sensitivity table in Appendix C is intended to make that uncertainty explicit rather than implying a single confident price target.

As shown in Appendix D, RTX's projected income statement for 2024 reflects both higher revenue and reduced operational costs. Revenue growth is driven by strong demand for defense products and increasing air travel, which boosts the aerospace segment. Additionally, the firm's focus on efficiency and cost management is expected to lead to improved margins, resulting in higher net income and increased earnings per share (EPS).

RTX has demonstrated resilience throughout recent challenges, continuing to generate profits and enhance operational efficiency. Even during disruptions caused by the pandemic, RTX managed to grow through its diversified revenue streams. As the global economy recovers, the company's ability to leverage its existing assets and maintain profitability will instill confidence in shareholders, contributing to higher stock prices in the future.

Overall, RTX presents a reasonable investment opportunity, offering both stability and long-term growth potential. The company's lower P/E ratio compared to the industry suggests undervaluation, and the free cash flow analysis further supports the conclusion that RTX's stock is currently trading below its intrinsic value. RTX's low beta and strong liquidity position make it a safe investment in uncertain economic conditions, and the company is poised to benefit from future growth in both defense and commercial aerospace sectors.

With steady increases in net income and EPS projected for 2024, RTX is well-positioned to deliver value to shareholders. Investors looking for a defensive yet growth-oriented stock will find RTX to be a solid investment. As the economy stabilizes and global markets recover, RTX's stock price is expected to rise, reflecting the company's strong fundamentals and strategic positioning.

Appendix A- Price to Earnings Ratio Calculations

Price per share on October 30, 2024- 122.14

Basic earnings per share, TTM ending 9/30/24- 3.54

Price to earnings ratio (TTM)- 34.50

APPENDIX B- CAPM CALCULATION

Beta= 0.54

Risk-Free Rate (10-yr Treasury, 10/30/24)= 4.28%

Equity Risk Premium (Damodaran implied ERP, October 2024)= 4.29%

Cost of Equity (CAPM) = $R_f + \text{Beta} \times \text{ERP} = 4.28\% + 0.54(4.29\%) = 6.60\%$

WACC Calculation (used as the discount rate in Appendix C, since the FCF model values the whole firm, not just equity)

Pre-Tax Cost of Debt (estimated from RTX's 2023 note issuances: 5.000%, 5.150%, 5.375% coupons, consistent with an A-/A3 credit spread of roughly 100bp over the 10-yr Treasury)= 5.30%

Effective Tax Rate (TTM, Tax/Pretax Income from Appendix D)= 16.8%

After-Tax Cost of Debt = $5.30\% \times (1 - 16.8\%) = 4.41\%$

Market Value of Equity (price \$122.14 x 1,331.0M shares outstanding, 9/30/24)= \$162.6 billion

Total Debt (short-term borrowings + current and long-term debt, 9/30/24 10-Q)= \$42.2 billion

Weight of Equity= 79.4% | Weight of Debt= 20.6%

WACC = 79.4%(6.60%) + 20.6%(4.41%) = 6.15%

Appendix C-Free Cash Flow Growth Model Calculation

Discount rate used = WACC = 6.15% (see Appendix B; the cost of equity alone is not appropriate here because this model values the whole firm, not just the equity claim)

Net Debt from 2024 (Total Debt of \$42.16 billion minus Cash & Equivalents of \$6.68 billion, 9/30/24 10-Q) = 35.47 billion. (Total liabilities of \$101.96 billion, used in the original draft, was the wrong figure to subtract here -- it double-counts operating liabilities like accounts payable that are already netted out of free cash flow. Net debt is the correct bridge from enterprise value to equity value.)

Preferred Stock from 2024= not material

Number of Common Stock Outstanding from 2024 = 1,331,016,397 (per 10-Q cover page, 9/30/24)

Free Cash Flow from 2024= 4.7 billion

Growth rates:

2025- 7%

2026- 12%

2027- 14%

2028- 12%

Free Cash Flows in billions:

2025= 5.029

2026= 5.632

2027= 6.421

2028=7.192

Terminal Growth Rate (long-run, roughly nominal GDP growth) = 3.0%

Present Value of Free Cash Flows, 2025-2028, discounted at 6.15% WACC:

PV(2025)= 4.739 PV(2026)= 4.999 PV(2027)= 5.369 PV(2028)= 5.665

Terminal Value at end of Year 4 = $FCF_{2028} \times (1+g) / (WACC - g) = 7.192 \times 1.03 / (0.0615 - 0.03) = 235.16$ billion

Present Value of Terminal Value (discounted 4 years at WACC) = 185.28 billion

Enterprise Value (sum of all discounted cash flows) = 206.05 billion

Less: Net Debt = 35.47 billion

Equity Value = 170.58 billion

Shares Outstanding = 1.331 billion

Intrinsic Value per Share = 170.58 / 1.331 = \$128.16

Price per share (10/30/24 close) = \$122.14 | Implied upside $\approx$ 5%

This is a modest, single-digit conclusion rather than the 43% upside the original 4.94% discount rate implied — and it is highly sensitive to the WACC and terminal growth inputs, as shown below. The starred row uses this appendix's base-case WACC of 6.15%.

Sensitivity: Intrinsic Value per Share (\$)

WACC \ Terminal g	2.0%	2.5%	3.0%	3.5%	4.0%
5.50%	116.31	138.22	168.89	214.91	291.60
6.00%	98.14	114.35	135.95	166.19	211.56
6.15%*	93.55	108.46	128.10	155.16	194.81
6.50%	84.02	96.44	112.42	133.72	163.54
7.00%	72.72	82.53	94.78	110.53	131.53

Note: the grid is computed without rounding the intermediate steps, so its base case shows \$128.10 rather than the \$128.16 above, which uses the rounded figures shown in this appendix. The difference is rounding only.

APPENDIX D- RTX INCOME STATEMENT COMPARISON

	2023* ¹⁹	2024* TTM ²⁰
Revenues	68,920	79,042
Cost of Goods Sold	56,831	63,858
Gross Profit	12,089	15,184
Operating Expenses	8,528	8,980
Operating Income (EBIT)	3,561	6,204
Non-Operating Expense (Income), Net [interest expense less pension income]	(275)	284
Earnings Before Taxes (EBT)	3,836	5,920
Income Taxes	456	994
Net Income (Consolidated, before Noncontrolling Interest)	3,380	4,926
Less: Noncontrolling Interest	185	208
Net Income Attributable to Common Shareowners	3,195	4,718
Shares Outstanding	1,426	1,331
Basic Earnings per Share	2.24	3.54

*in millions except basic earnings per share

RTX Corporation's financial performance from 2023 to trailing-twelve-months (TTM) 2024 shows significant improvement across key metrics. Revenues increased by 14.7%, from \$68.92 billion to \$79.04 billion, driven by strong demand in both its defense and commercial aerospace segments, as well as recovery in global travel. Although the Cost of Goods Sold (COGS) rose by 12.4% to \$63.86 billion, this increase was smaller than revenue growth, indicating enhanced operational efficiencies that helped increase gross profit by 25.6%, from \$12.09 billion to \$15.18 billion. Operating expenses (which include SG&A, R&D, and the various restructuring, litigation, and export-compliance charges discussed earlier in this paper, including the 2024 DOJ/SEC settlements and Raytheon contract termination) rose 5.3%, allowing operating income

¹⁹ RTX Corporation (RTX) Income Statement - Yahoo Finance. (2024). Yahoo.com. <https://finance.yahoo.com/quote/RTX/financials/>

²⁰ RTX Corporation (RTX) Financials - Income Statement - Stock Analysis. (2024). Stock Analysis. <https://stockanalysis.com/stocks/rtx/financials/>

(EBIT) to grow 74.2% to \$6.20 billion, reflecting improved underlying operating leverage even after those one-time charges.

Below the operating line, RTX swung from net non-operating income of \$275 million in 2023 (pension income exceeded interest expense) to a net non-operating expense of \$284 million in TTM 2024, as rising interest expense on RTX's debt outpaced its declining non-service pension income. Even so, earnings before taxes (EBT) grew 54.3%, reaching \$5.92 billion, while income taxes more than doubled to \$994 million as pre-tax earnings rose and the effective tax rate normalized upward from an unusually low 2023 base. After deducting income attributable to noncontrolling interests (which grew from \$185 million to \$208 million as RTX's international joint ventures scaled), net income attributable to common shareowners grew by 47.6%, from \$3.195 billion in 2023 to \$4.718 billion in 2024, highlighting strong overall profitability.

With a decrease in shares outstanding by 6.7%, largely attributed to share buybacks, RTX's basic earnings per share (EPS) rose significantly by 58%, from \$2.24 to \$3.54. This improvement in EPS underscores the company's commitment to enhancing shareholder value. Overall, RTX's financial results for 2024 reflect its resilience and growth potential, with a balanced focus on its commercial and defense segments, efficient cost management, and strategic capital allocation, driving substantial year-over-year gains.

APPENDIX E- RELATIVE VALUATION (COMPARABLE COMPANIES)

Company	Market Cap (\$B)	Enterprise Value (\$B)	EV/EBITDA (TTM)	P/E (TTM)
RTX	160.9	200.2	16.05	34.11
Lockheed Martin	138.8	155.5	15.30	20.80
General Dynamics	82.3	92.1	17.05	22.63
Northrop Grumman	77.2	91.8	20.59	32.52
Peer Median (excl. RTX)			17.05	22.63
Boeing	N/M	N/M	N/M	N/M

Multiples as of fiscal third quarter 2024 quarter end (September 29–30, 2024). N/M = not meaningful (negative earnings and EBITDA).

EV/EBITDA Cross-Check:

RTX TTM EBITDA = \$200.2 billion EV ÷ 16.05 = \$12.47 billion

Implied Enterprise Value = 17.05 × \$12.47 billion = \$212.6 billion

Less: Net Debt (Appendix C) = \$35.47 billion

Implied Equity Value = \$177.2 billion

Implied Value per Share = \$177.2 billion ÷ 1.331 billion shares = \$133.10

P/E Cross-Check:

2024 Adjusted EPS Guidance Midpoint = $(\$5.50 + \$5.58) \div 2 = \$5.54$

RTX P/E on Adjusted EPS = $\$122.14 \div \$5.54 = 22.05$

Implied Value per Share = $22.63 \times \$5.54 = \125.37

Valuation Summary (per share): DCF \$128.16 | EV/EBITDA \$133.10 | Adjusted P/E \$125.37 |
Price (10/30/24) \$122.14

Sources: StockAnalysis quarterly ratio data for RTX, LMT, GD, and NOC (stockanalysis.com); RTX Reports Third Quarter 2024 Results (October 22, 2024). StockAnalysis enterprise values include items such as noncontrolling interests, so they differ slightly from the net debt figure used in Appendix C.

APPENDIX F- REVISION NOTES (2026)

In 2026 I audited the original Fall 2024 model with the help of an AI assistant (Claude) and rebuilt the valuation. The changes are listed below so a reader can see exactly what moved and why. Together they lowered the DCF estimate from \$175 to about \$128 per share, taking the implied upside from about 43% to about 5% against the October 30, 2024 price of \$122.14.

Discount rate. The original model entered a 5.5% market rate as the expected market return, which produced a required return of 4.94% and implied an equity risk premium of only 1.22%. That cost of equity was then used to discount free cash flow to the whole firm. The revision uses the Damodaran implied equity risk premium of 4.29% (October 2024) for a cost of equity of 6.60%, and blends it with a 4.41% after tax cost of debt into a WACC of 6.15% (Appendix B).

Equity bridge. The original subtracted total liabilities (about \$102 billion) from enterprise value. The revision subtracts net debt of \$35.47 billion (\$42.16 billion of debt less \$6.68 billion of cash), since operating liabilities are already reflected in free cash flow (Appendix C).

Terminal value. The original reported a year four value of \$381.02 billion without showing the calculation. The revision shows the Gordon growth formula with a 3.0% terminal growth rate, which sits below the 6.15% WACC.

Growth assumptions. The original text described a single 5% growth rate while the model itself used 7%, 12%, 14%, and 12% for 2025 through 2028. The text now matches the model.

Share count. Updated from 1,333,200,000 to 1,331,016,397 shares, per the 10-Q cover page as of 9/30/24.

P/E ratio. The body cited a 2023 P/E of 37.06 while Appendix A showed 34.98. Both were replaced with a trailing twelve month P/E of 34.50 (\$122.14 price divided by \$3.54 TTM basic EPS).

Income statement. In Appendix D, operating expenses, EBIT, and earnings before taxes were restated; the interest expense line was replaced with net non operating expense (interest expense less pension income); noncontrolling interest was broken out so net income ties to EPS; the 2024 gross profit entry was corrected to 15,184; and the decline in shares outstanding was corrected from 6.5% to 6.7%.

Peer data. Boeing's gross profit margin was corrected from 3.62% to 3.13%.

Relative valuation. Appendix E is new. It compares RTX with Lockheed Martin, General Dynamics, and Northrop Grumman on EV/EBITDA and P/E. The two cross-checks imply about \$133 and \$125 per share, bracketing the DCF value of about \$128.

Other additions. The revision adds the WACC calculation (Appendix B), a WACC and terminal growth sensitivity grid (Appendix C), and an explicit bear case in the Valuation section. The executive summary and conclusion were reworded so they match the more modest result.